too much emphasis on instant gratification and too little value on opportunity costs.

Impact of Endowment Effect

The endowment effect is very relevant to investing. Stock market participants, analysts, fund managers and companies all become victims of endowment at one time or other. Here are a few examples of the endowment effect as it plays out in real life.

Overvaluing One's Holdings

Ganesh: "*What is the price of Tata Steel?*"

Broker: "*It is Rs. 298/299.* "

Ganesh: *"Give me a call when it reaches Rs. 300. I need to sell."*

The price reaches Rs. 301.

Broker: "*The price is Rs. 301/302. Should I sell? It is one rupee above your limit of Rs. 300.*"

Ganesh: "*No. The market seems to be going up. I will wait for a price of Rs. 305. Give me a call then.* "

The price goes up to Rs. 306 and the broker calls.

Broker: "*The price is Rs. 306. What should I do?* "

Ganesh: *"Wait till it touches Rs. 315. Then don't even ask me, just sell. I am sure it will go up. This is a great company and such a low price is ridiculous."*

The price falls to Rs. 301.

Broker: "*The markets are down and the stock is back to Rs. 301.*"

Ganesh: "*The market may be down but the stock cannot go down. I know we will get the price tomorrow when the markets are up. Don't worry we will sell tomorrow at Rs. 315. I just can't believe it that the market is selling a good stock so cheap.*"